



IMAGE BY **VIDUSHI MEHROTRA / AI**

LIGHTSPEED ON AN OVERDRIVE

• Lightspeed India's fund size over the years starting 2015

FUNDS	FUND SIZE	NUMBER OF INVESTMENTS
Fund I	\$135 million	~24
Fund II	\$175 million	~28
Fund III	\$275 million	~50
Fund IV	\$500 million	~35

DATA AS OF JAN 2025

care and cosmetic products that has shut down and is undergoing a sell off.

To its credit, Lightspeed has largely avoided such pitfalls. True, it had exposure to Byju's, but at an early stage and with a "relatively small investment," according to Lightspeed India Partners.

VC ECOSYSTEM

Remember, the VC ecosystem in India is a late bloomer. While global VCs began trickling into the country in the early 2000s, the flow of capital was restricted. India has never had homegrown versions of Meta, YouTube, or WhatsApp, partly because global funds were more inclined towards the West, where most of their capital came from.

What did catch investors' attention were India's traditional strengths—low-cost manufacturing, labour-intensive industries, and a vast consumer base.

Yet, it wasn't until 2013–14 that the tide truly began to turn. With the tech ecosystem opening up and entrepreneurship becoming more mainstream, the flow of capital accelerated. That shift may have also prompted Lightspeed to up its bet on India.

Globally, Lightspeed has invested across sectors including the consumer economy, media, fintech, edtech,

and even crypto currencies. In India, since 2008, the focus had largely been on enabling the consumer economy—payments, delivery and logistics.

The real inflection point came in 2016 with the launch of the Unified Payments Interface (UPI). India's market expanded dramatically, driven by cheap data and a smartphone boom. The focus shifted from enabling technologies and e-commerce to newer frontiers: social media, where Lightspeed backed ShareChat; and B2B commerce with early bets in Udaan and Zetwerk, and enterprise software firms.

FROM SEED TO GROWTH STAGE

Lightspeed's move from seed to growth-stage investing was deliberate. The post-Covid years of 2021–22 saw an unprecedented flood of capital into Indian start-ups. In 2021, the Indian start-up ecosystem became the world's third largest, breaking all records and receiving an inflow of \$36 billion.

By 2023 the tide had turned, and fundraising beyond Series A began to slow. Between January–August 2025, the VC ecosystem had poured \$3.8 billion into Indian start-ups, still lower than the same time last year when investments reached \$4.9 billion, says financial information provider Tracxn.